

Honors Intro Micro | Homework 1 Demo

Question 1

Becca can transmogrify 2000 widgets or 3000 wigamas in one day. Set up Becca's PPF on an x,y graph with pasties on the vertical and cakes on the horizontal. What is Becca's opportunity cost of each good?

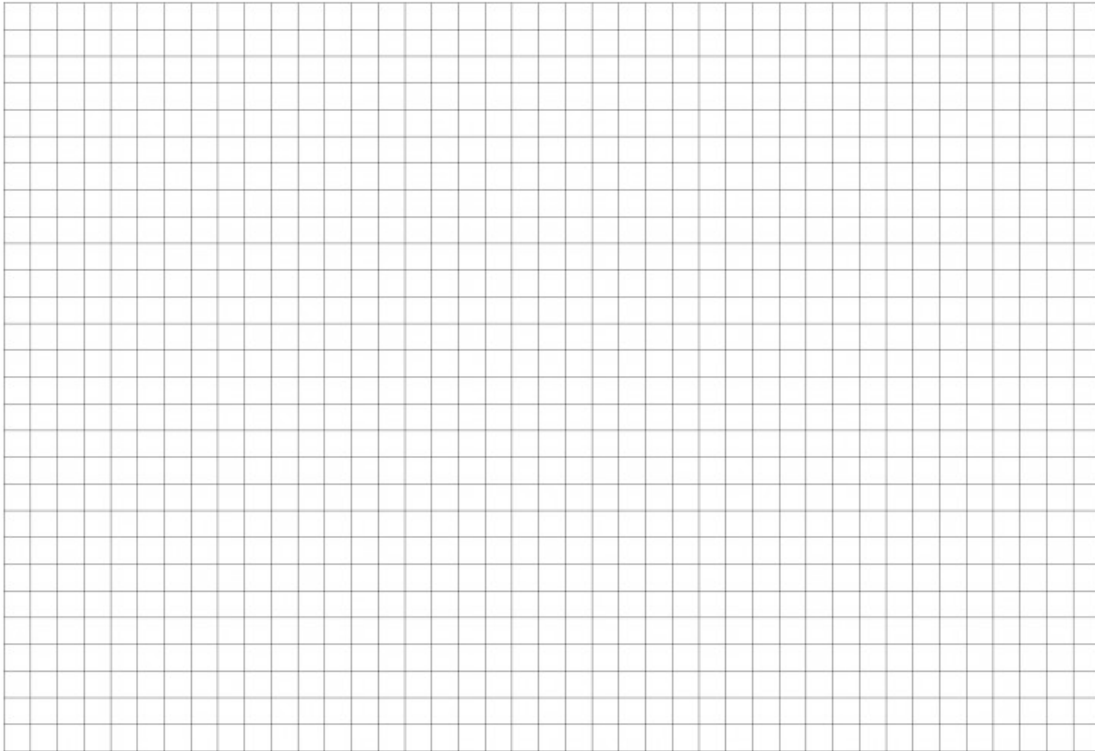


Opportunity cost of widgets: _____

Opportunity cost of wigamas: _____

Question 2

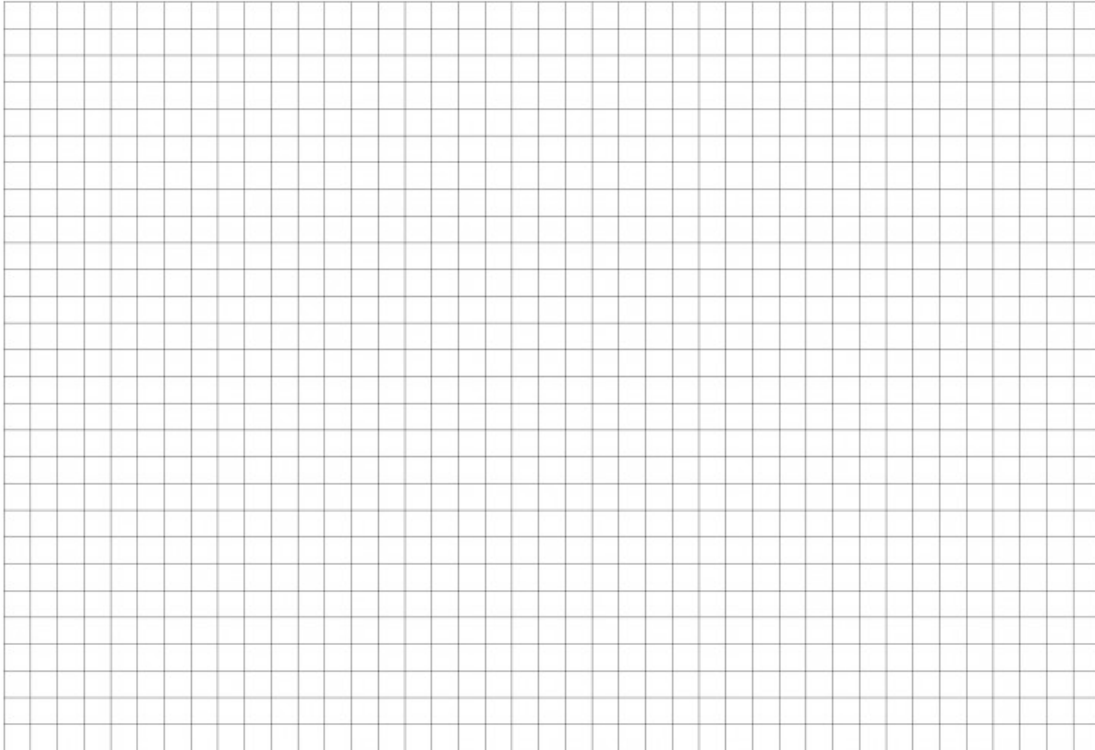
Suppose Becca transmogrifies 3000 widgets and 2000 wigamas in one day. Is this efficient, feasible, or unattainable? Use a graph or algebra to justify your answer.



Efficient, Feasible, Unattainable: _____

Question 3

Carole Baskine also transmogrifies widgets and wigamas, up to 10 widgets or 5 wigamas in one day. Set up a production table with both Becca and Carole's output per day. Who has the absolute advantage (AA) in widgets? Then set up an opportunity cost table with Becca and Carole's opportunity costs for each good. Who has the comparative advantage (CA) in widgets?

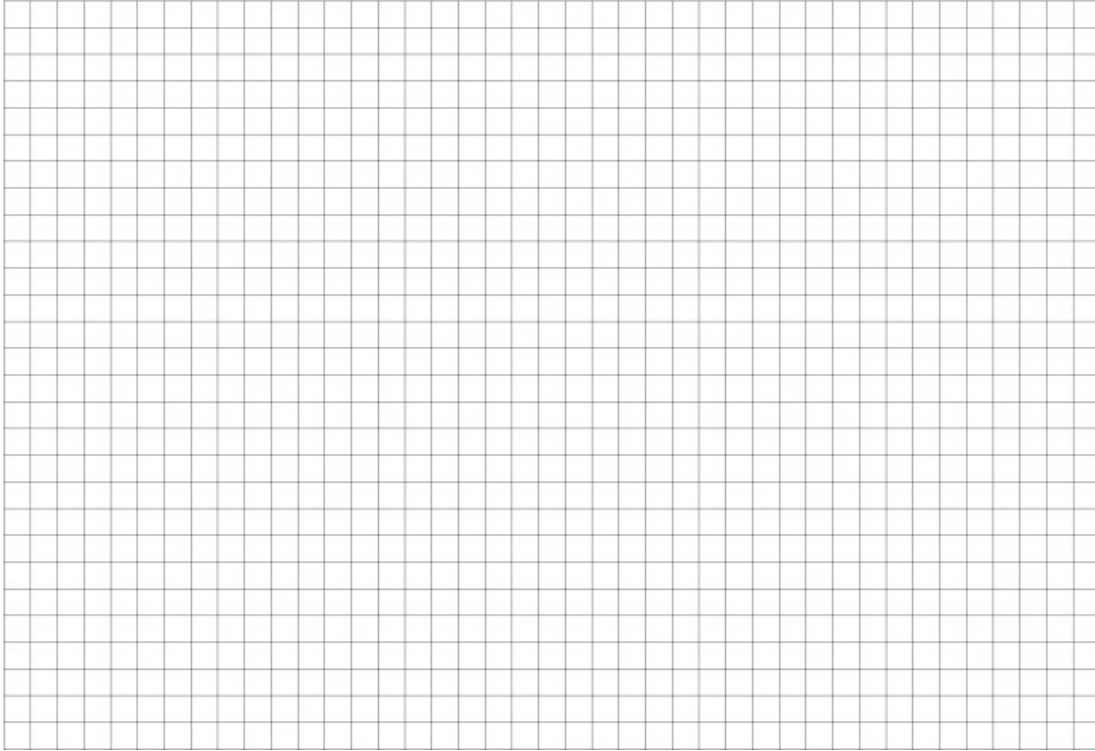
A large grid of graph paper, consisting of 30 columns and 30 rows of small squares, intended for students to create production and opportunity cost tables.

AA in Widgets: _____

CA in Widgets: _____

Question 4

Suppose Becca and Ms. Baskin realize they can specialize and trade goods. After they specialize, what is a trade that would make them both better off?

A large grid of graph paper, consisting of 20 columns and 20 rows of small squares, intended for drawing or writing a response.

_____ Widgets for _____ Wigamas

Question 5

It turns out Carole B. gets injured by a tiger, and needs to slow down her transmogrification work, and cuts her time in half. Right after, the transmogrify industry goes through a minor revolution and improves the efficiency of generating wigamas by a factor of 2. Show both changes to her PPF.

